

The world in brief

Catch up quickly on the global stories that matter



Photograph: AFP

Abbas Araghchi, **Iran's** foreign minister, stressed the need for “dialogue and diplomacy” in a call with Ishaq Dar, his Pakistani counterpart. Iran is mulling **America's** proposal to end the war, which reportedly involves a moratorium on Iran [enriching uranium](#). Earlier Donald Trump suggested that Iran was eager to make the deal, and that the conflict would be “over quickly”. But a lasting peace seems [some way off](#).

Meanwhile **France** deployed a group of aircraft carriers to the Red Sea, the first step in a possible mission to secure the **Strait of Hormuz**. Should America and Iran agree, France is hoping to be part of a multinational force that protects vessels crossing the waterway. On Tuesday Mr Trump [paused America's operation](#) to guide commercial ships out of the **strait** amid negotiations with Iran.

McDonald's, one of the world's largest fast-food chains by revenue, posted better-than-expected quarterly results. Revenue grew by 9% year-on-year, rising to \$6.52bn. But Chris Kempczinski, the American firm's boss, warned that high petrol prices, which squeeze low-income diners the hardest, could weaken consumer sentiment heading into the second quarter. Shake Shack,

a smaller rival, fared worse: its shares tumbled nearly by 30% after disappointing results.

Israel said it struck the southern suburbs of Beirut, killing Ahmed Ali Balout, a top commander in Hizbullah, an [Iran-backed militia](#). It is the first attack on **Lebanon's** capital since the two countries implemented a [fragile ceasefire](#) last month, although fighting elsewhere has continued. America has urged them to negotiate. Earlier Nawaf Salam, Lebanon's prime minister, dismissed the possibility of imminent "high-level meetings".

Citigroup, once America's most valuable bank that has more recently been considered Wall Street's biggest loser, disappointed attendees at its investor day by setting low profit targets. It said it would aim for returns on tangible common equity, a measure of profits relative to capital, of 14-15% between 2029 and 2031; last year peers such as JPMorgan Chase and Morgan Stanley achieved 20% or more.

Marco Rubio arrived at the Vatican to meet **Pope Leo**. America's secretary of state will try to smooth relations between the Trump administration and the pontiff, which [have been bumpy](#). Leo, the first American pope, has criticised Mr Trump's war in Iran and his immigration policies. Mr Trump has told God's representative on Earth to "get his act together". The president's criticism has troubled MAGA-aligned Catholics.

The World Health Organisation confirmed five of the eight suspected cases of **hantavirus** on a cruise ship. Three passengers have died so far. An expert from the WHO said at a press conference that the [rodent-borne virus](#) was distinct from SARS-CoV-2 and that this was "not the start of a Covid pandemic". The boat is due to dock in the Canary Islands this weekend.

Figure of the day: 86, the number of social-media posts attacking the press published by Javier Milei, Argentina's president, over

four days in April. He reposted another 874. [Read about](#) why Mr Milei is in serious trouble.



Photograph: Shutterstock

Iran weighs its options

America claims it is the closest it has been to a deal to end its war with Iran. But Donald Trump's track record has convinced Iran's leaders that diplomacy will not end [the conflict](#). They are now asking whether to wait for American forces to attack or to attack first.

Immediately after the ceasefire began, advocates of patience seemed to be in the ascendant. The most prominent, Mohammad Baqer Qalibaf, a former commander of the Islamic Revolutionary Guard Corps who is now speaker of parliament, was chief negotiator at talks with America in Islamabad. He is sympathetic to businessmen who counsel against escalation.

Yet Mr Qalibaf faces opposition—particularly from Ahmad Vahidi, a military man who believes Iran should resist America. If he prevails, escalation will follow. Strikes on tankers could resume, keeping the Strait of Hormuz closed and perhaps extending conflict to the Red Sea. And American warships and Gulf cities could come under more fire.

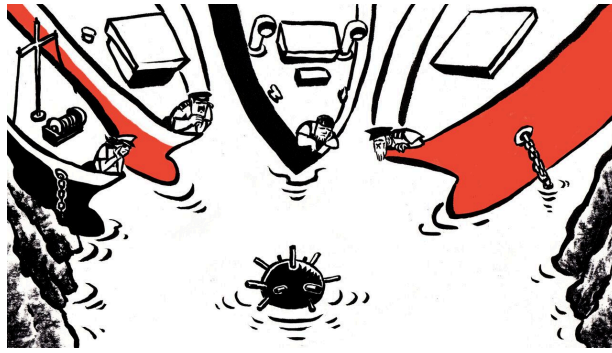


Illustration: David Simons

The sailors stranded in the strait

This week an American-flagged ship operated by Maersk, the world's second-biggest shipping company, was one of the first escorted through the Strait of Hormuz by America's navy since the war began. About 1,600 ships and [20,000 seafarers](#) are stranded near the strait. Hopes of a reopening evaporated when Donald Trump paused his escort plan a day later.

Before the war Maersk moved about 40,000 containers in and out of the Gulf weekly. It has since suspended bookings in the region and imposed fuel surcharges elsewhere to offset the \$500m monthly increase in costs because of the disruption. The Danish firm already faced losses because it had ordered too many vessels during a post-pandemic boom. On Thursday Maersk reported that its quarterly operating profit plunged by 73% year on year, mostly because of oversupply.

Even if Iran and America reach a deal, shipping lines should prepare for rougher sailing. The waterway is littered with Iranian mines. And nefarious actors near [other chokepoints](#) are wise to the leverage they can gain by threatening ships.



Photograph: IMAGO

Checking in on Airbnb

Investors have recently given [Airbnb](#) decent reviews: its share price has risen by 16% over the past six months. The firm has added independent hotels to its platform and broadened its offering to include experiences such as walking tours. Analysts expect first-quarter results, released on Thursday, to show that revenue rose by 15% year on year to around \$2.6bn.

This success has come despite growing political opposition. Like a stag party checking into a city-centre flat, Airbnb is not universally welcomed. Many cities have restricted holiday rentals, fearing they lift house prices and hurt hoteliers. America's Congress is investigating whether the company's use of Chinese artificial-intelligence models is a threat to national security.

More challenges are to come. Travel disruption caused by the Iran war and rising inflation are expected to hurt demand. Moreover, a hoped-for surge in North American bookings ahead of the football World Cup this summer is yet to materialise. As such, Airbnb's summer holidays look unusually perilous.



Photograph: Reuters

Britain's Labour Party faces a drubbing

On Thursday Britain's political parties face their biggest test before the next general election, which will probably be in 2029. Around two-thirds of Britain's electorate have the chance to vote in elections, including polls for parliaments in Wales and Scotland and local councils in much of England.

For the governing Labour Party the results are set to be [especially painful](#). It could lose anywhere from 1,200 to 1,900 of the 2,200 council seats it is defending. The centre-left party could also [lose control of the Welsh parliament](#), or Senedd, for the first time since the chamber was created in 1999. The populist-left Green Party hopes to make gains in Labour's urban strongholds, particularly in London; the populist-right Reform UK wants to displace Labour from its working-class heartlands in northern England. Disastrous results would pile pressure on the prime minister, Sir Keir Starmer—and perhaps set off a long-awaited leadership challenge.



Photograph: Getty Images

LIV Golf looks for a lifeline

Donald Trump cannot stand a loser. But on Thursday the sad, failing LIV golf tour will visit the president's club near Washington, DC. It was launched five years ago to rival the stuffy PGA Tour and backed by more than \$5bn from Saudi Arabia's Public Investment Fund. In 2022 Mr Trump encouraged PGA players to defect to the upstart and "take the money". A few days ago he changed his mind, suggesting that LIV players should instead rejoin the PGA because "All of the great golfers should be playing against each other."

LIV now looks like a fizzle. Golf fans have largely stuck with the PGA and some LIV players want to return. In April Saudi Arabia said it would stop funding it. The country is pulling back from [flashy sports investments](#) to focus on domestic spending in order to support flagging economic growth. The tour is looking for new investors, but it will be hard to get out of the rough.



Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Thursday: Michael Stipe is the lead singer of which band from Athens, Georgia?

Wednesday: Andy Summers was the guitarist of which British rock band?

*Inspiration is a guest that does
not willingly visit the lazy.*

Pyotr Ilyich Tchaikovsky